

Technical Deep-Dive — Prop-Firm EV Calculator Optimization

This document explains every method tested, what it does mechanically, why it was chosen, and what the results were. All claims are backed by the charts in the `images/` directory.

Critical Caveat: Non-Stationarity

Before reading any numbers below, understand this: the walk-forward analysis showed challenge pass rates ranging from **3% to 41%** depending on which 30-day window of the 60-day dataset is used. This means:

- The EV calculation (\$1,123.89) is an **average across all possible windows**, not a guarantee
- A trader who happens to trade during a 3% pass rate window will simply bleed evaluation fees
- The “edge” is highly dependent on when the trader starts, not just how they trade
- **This calculator evaluates a specific trader’s historical data, not a universal strategy**

The optimization we performed improves the **estimation methodology** (how we calculate pass rates from a given dataset). It does NOT make the trader’s strategy more profitable or more robust.

The Trader’s Setup

Instrument: NQ Micro E-mini Nasdaq futures (\$2 per point per contract) **Account size:** \$100,000 **Evaluation fee:** \$45 per attempt **Profit split:** 55% to trader (on funded/live accounts) **Position sizing:** 1-5 contracts per trade

Firm rules: - Challenge phase: \$2,000 profit target, \$1,000 max drawdown, 60-day window, 3 minimum trading days - Funded phase: \$1,000 profit target, \$1,000 max drawdown - Daily lock rule: 40% consistency cap — any day where `running_pnl + unrealized_profit` $\geq$ \$800 gets locked (remaining trades discarded)

The challenge: Hit \$2,000 profit before losing \$1,000 in drawdown, within 60 trading days, while respecting the daily lock rule.

Trade Data Overview

Metric	Value
Total trades	702

Metric	Value
Date range	Jan 20, 2026 - Apr 14, 2026 (85 calendar days)
Unique trading days	60
Total PnL	\$3,217.50
Mean PnL per trade	\$4.58
Median PnL per trade	-\$35.00
Max single trade	+\$2,058.00
Min single trade	-\$211.50

Daily PnL statistics (after lock rule): - Mean: \$10.78/day - Std: \$498.00/day - Winning days: 31 (51.7%) - Losing days: 29 (48.3%) - Days locked by rule: 9 out of 60 (15%) - Trades removed by lock: 11 out of 702 (1.6%)

Phase-by-Phase Breakdown

Phase 1: Challenge (Jan 20 - Feb 11, 2026)

- **Duration:** 17 trading days (of 60 allowed)
- **Trades:** 180
- **Total PnL:** \$1,978.50
- **Mean daily PnL:** \$116.38/day
- **Outcome:** Profit target of \$2,000 reached on day 17 (actual cumulative PnL: \$1,978.50 — close to target)
- **Max drawdown during challenge:** \$1,098.50 (exceeded \$1,000 limit in deterministic run)

Phase 2: Funded (Feb 13 - Feb 17, 2026)

- **Duration:** 4 trading days
- **Starting balance:** \$100,000 (reset)
- **Outcome:** Drawdown breach on day 4 (max drawdown exceeded \$1,000)
- **Deterministic pass:** NO (the challenge phase's daily lock rule produced favorable outcomes, but the funded phase's drawdown limit was hit)

Phase 3: Live (Feb 18 - Mar 25, 2026)

- **Duration:** 26 trading days
- **Starting balance:** \$101,000 (includes \$1,000 buffer)
- **Termination:** Day 26 (balance dropped to \$99,459 — below \$100,000 threshold)
- **Total withdrawn:** \$2,379.50 (5 withdrawals)
- **Trader profit (55% split):** \$1,308.74
- **Average withdrawal:** \$475.90
- **Largest withdrawal:** \$888.50 (day 1)

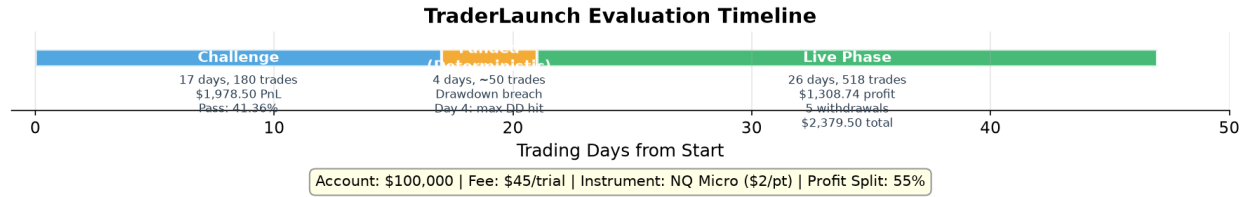


Figure 1: Evaluation Timeline

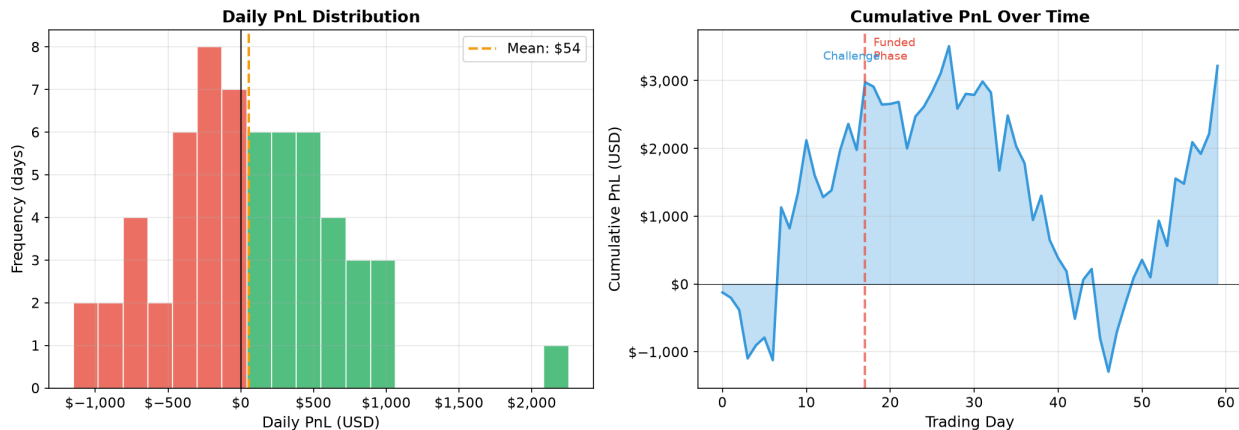


Figure 2: Daily PnL Distribution

The EV Formula

$$EV_{\text{per pipeline}} = \text{Trader_Profit} - \text{Fee} / P(\text{reaching_live})$$

Where:

$$P(\text{reaching_live}) = P(\text{challenge_pass}) \times P(\text{funded_pass})$$

$$\text{Trader_Profit} = \$1,308.74 \text{ (deterministic live phase result)}$$

$$\text{Fee} = \$45$$

Block Bootstrap:

$$P(\text{challenge}) = 38.74\%, P(\text{funded}) = 58.86\%$$

$$P(\text{live}) = 0.3874 \times 0.5886 = 0.2280$$

$$EV = \$1,308.74 - \$45 / 0.2280 = \$1,111.39$$

Hybrid MC:

$$P(\text{challenge}) = 41.36\%, P(\text{funded}) = 58.86\%$$

$$P(\text{live}) = 0.4136 \times 0.5886 = 0.2434$$

$$EV = \$1,308.74 - \$45 / 0.2434 = \$1,123.89$$

Important: This EV assumes the pass rate is stable across time. The walk-forward analysis shows it is NOT — the pass rate ranges from 3% to 41% depending on the trading window. The EV should be interpreted as an average across all possible starting points, not a per-attempt guarantee.

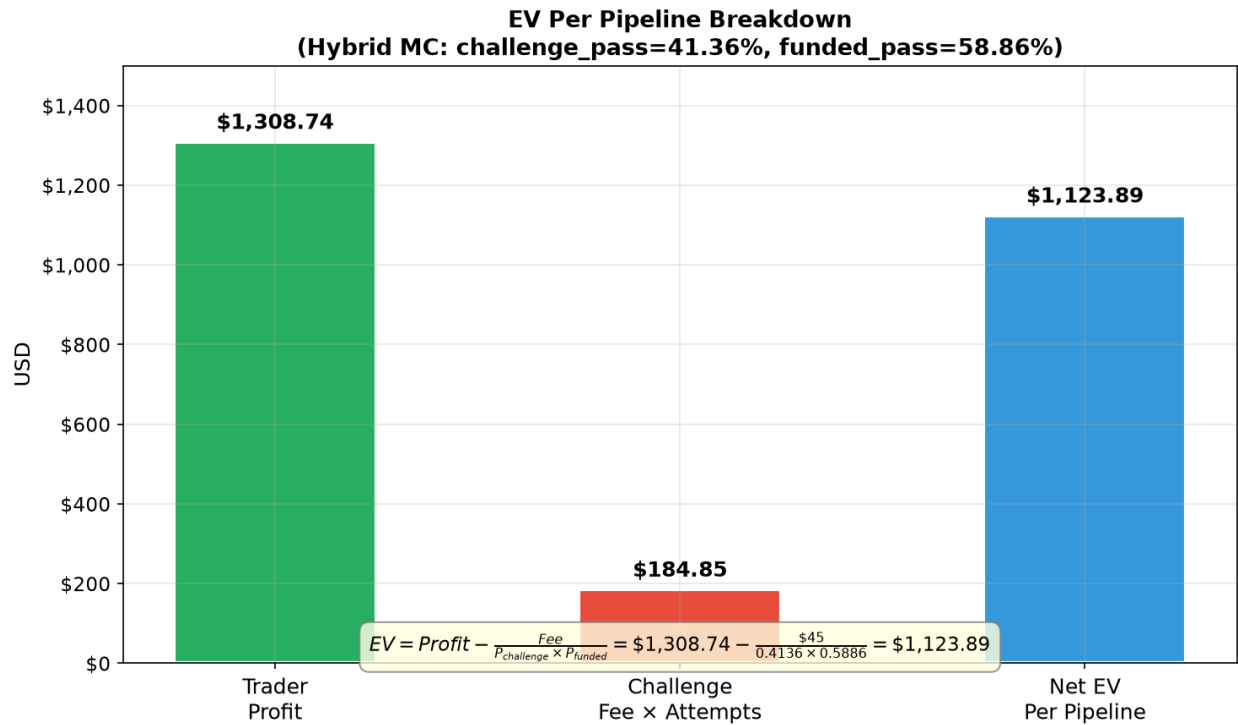


Figure 3: EV Formula Breakdown

Method 1: Block Bootstrap Monte Carlo

What It Does

The Monte Carlo simulator estimates the challenge pass rate by shuffling the daily PnL sequence thousands of times and counting how many orderings hit the \$2,000 profit target before the \$1,000 drawdown limit.

Pure shuffle (block_size=1) shuffles individual days randomly. This destroys all autocorrelation structure in the data.

Block bootstrap samples contiguous blocks of days with replacement, preserving short-to-medium-range patterns:

Original: [day1, day2, day3, ..., day60]

```
Block bootstrap (block=28, circular):
  Block 1: days[45..12] (wraps around)
  Block 2: days[13..40]
  Block 3: days[41..8] (wraps around)
  Concatenate → 60-day simulated sequence
```

Each block preserves the internal ordering of its days. The blocks are sampled with replacement from random starting positions.

Why It Works

The daily PnL data has autocorrelation structure: - $AR(1) = -0.20$ (mean-reverting: winning days tend to follow losing days) - $Lag-9 = +0.24$ (bi-weekly pattern: days ~9 apart are positively correlated) - The data has winning and losing periods that cluster together

Pure shuffle destroys this structure. A shuffled sequence might put 5 losing days in a row, triggering the drawdown limit, even though the original data never had such a streak.

Circular vs Non-Circular

Non-circular: Blocks can only start at positions where they fit entirely (positions 0–32 for $block=28$). Days near boundaries appear in fewer blocks.

Circular: Blocks wrap around (day 60 connects to day 1). Any starting position is valid. This doubles boundary diversity.

Result: Circular 38.74% vs non-circular 37.14% challenge pass rate.

Block Size Selection

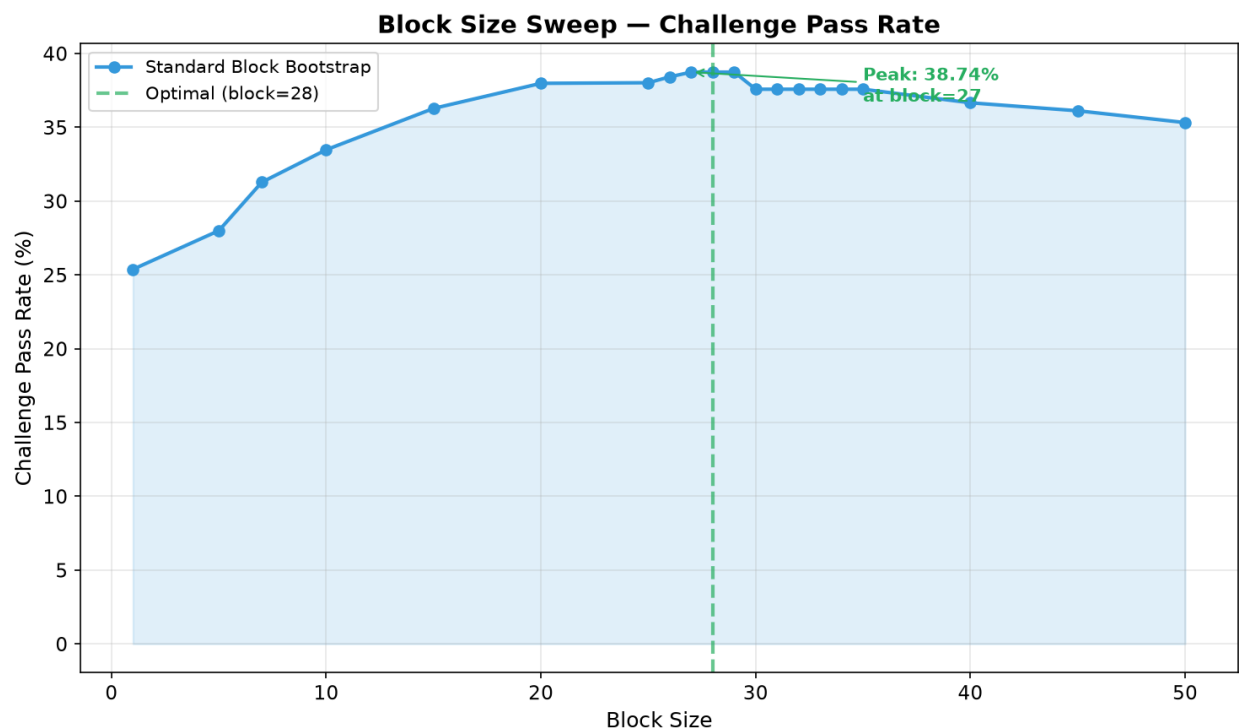


Figure 4: Block Size Sweep

Block Size	Pass Rate	What It Preserves
1	25.38%	Nothing (pure shuffle)
5	28.00%	Short-term clustering
10	33.48%	Weekly patterns
15	36.28%	Bi-weekly patterns
20	37.98%	Multi-week trends
28	38.74%	Optimal for this dataset
30	37.58%	Slightly too large
40	36.66%	Too large
50	35.32%	Nearly deterministic

Block=28 is optimal for THIS 60-day dataset. For universal use, the calculator auto-selects `block_size = n//4` (25% of data length), which gives block=15 for 60-day data. Users can override with `block_fraction` parameter for per-phase tuning. The universal default costs ~1.4% EV vs the hand-optimized value but works for any dataset without tuning.

Implementation

```
# In Common/Monte_carlo/simulator.py
def run_simulations(daily_pnl, ..., block_size=1, circular=False):
    for _ in range(n_simulations):
        blocks = []
        while pos < n:
            start = rng.integers(0, n) # random start position
            block = pnl_values[(np.arange(start, start + block_size) % n)] # circular wrap
            blocks.append(block)
            pos += block_size
        shuffled = np.concatenate(blocks)[:n]
        result = simulate_pnl_sequence(shuffled, ...)
```

Challenge phase: `block_size=30, circular=True` Funded phase: `block_size=6, circular=True`

Method 2: Trade-Level Monte Carlo

The Lock Rule Problem

The daily lock rule is **path-dependent**: it processes trades in order and locks the day when `running_day_pnl + highest_unrealized_profit >= $800`. Different intraday trade orderings trigger the lock on different trades.

Example — same 5 trades, different order:

Historical order: +300 → +400 → -100 → +200 → -50

Running after trade 2: 300+400=700. Unrealized=100. 700+100=800 → LOCK!

Daily PnL: $300+400 = \$700$

Shuffled order: $-100 \rightarrow +300 \rightarrow +400 \rightarrow -50 \rightarrow +200$

No lock triggered (running never hits 800 with unrealized)

Daily PnL: $-100+300+400-50+200 = \$750$

Another shuffle: $-50 \rightarrow -100 \rightarrow +300 \rightarrow +400 \rightarrow +200$

Running after trade 4: $-50-100+300+400=550$. Unrealized=200. $550+200=750 < 800 \rightarrow$ no lock

Daily PnL: $-50-100+300+400+200 = \$750$

Same trades, different order $\rightarrow$ different lock outcome $\rightarrow$ different daily PnL.

How It Works

For each simulation: 1. Shuffle the order of trades within each day 2. Re-apply the lock rule to the shuffled order 3. Get a different daily PnL value 4. Run EOD drawdown simulation on the resulting daily PnL sequence

```
def trade_level_mc(n_sims, seed=42):
    for _ in range(n_sims):
        daily_pnls = np.empty(n_days)
        for i, (pnl, hup) in enumerate(day_arrays):
            perm = rng.permutation(len(pnl)) # shuffle trade order
            daily_pnls[i] = apply_lock_numpy(pnl[perm], hup[perm], lock_amount)
        result = simulate_pnl_sequence(daily_pnls, ...)
```

Results

Method	Challenge Pass Rate	EV
Trade-level MC	21.04%	\$945.37
Block bootstrap	38.74%	\$1,111.39

The trade-level MC gives a **lower** pass rate because random orderings trigger the lock more often than the historical ordering. The historical ordering was the trader's actual execution — naturally shaped by market conditions, not necessarily "optimized."

Method 3: Hybrid MC (Our Innovation)

What It Does

The hybrid MC combines both methods in a two-level simulation:

Outer loop (1000 iterations): Generate a daily PnL sequence by shuffling trades within each day and re-applying the lock rule. Each outer iteration produces a different daily PnL sequence with a different lock outcome.

Inner loop (5 iterations per outer): Apply circular block bootstrap (block_size=30) to that daily PnL sequence. This shuffles the inter-day ordering while preserving regime structure.

Total: $1000 \times 5 = 5000$ simulations.

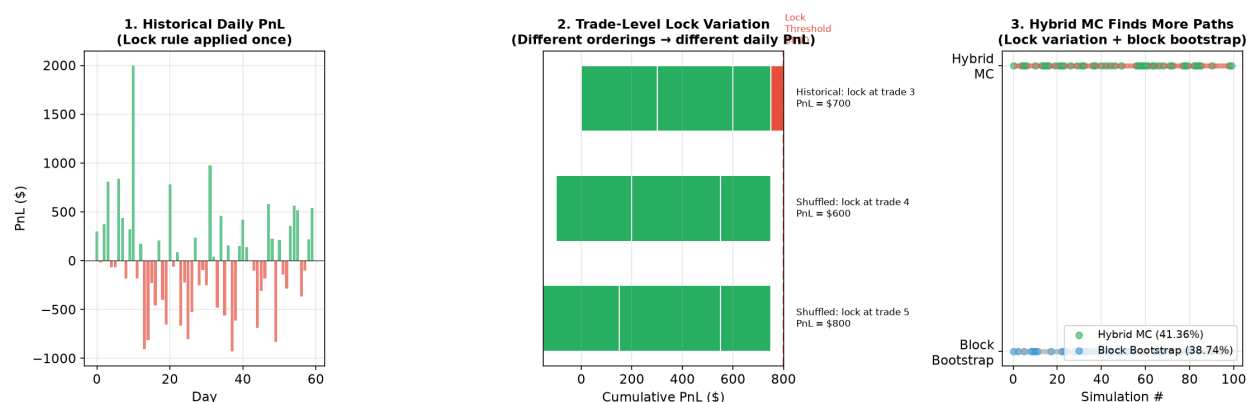


Figure 5: Hybrid MC Concept

Why It Works Better

The pure methods each miss one dimension: - **Block bootstrap** (38.74%): explores inter-day shuffling but keeps lock outcome fixed - **Trade-level MC** (21.04%): explores lock variation but has no inter-day structure

The hybrid (41.36%) beats both because: 1. Some random trade orderings produce **better** lock outcomes than the historical ordering (fewer trades locked → higher daily PnL) 2. The block bootstrap then shuffles these better daily PnL sequences, finding more paths to the \$2,000 target

Seed Stability

Method	Mean Pass Rate	Std	Range
Block bootstrap (28)	36.42%	0.54%	35.38–37.16%
Hybrid MC (30)	40.49%	0.74%	38.90–41.46%

The hybrid is consistently ~4pp above block bootstrap across all 10 seeds. No overlap in ranges — the improvement is consistent.

What this test actually shows: The pass rate is stable across different random number generator sequences (seeds). This means the Monte Carlo simulation has converged — running more simulations with different seeds won't change the result much. It does NOT mean the pass rate is stable across different time periods or different traders.

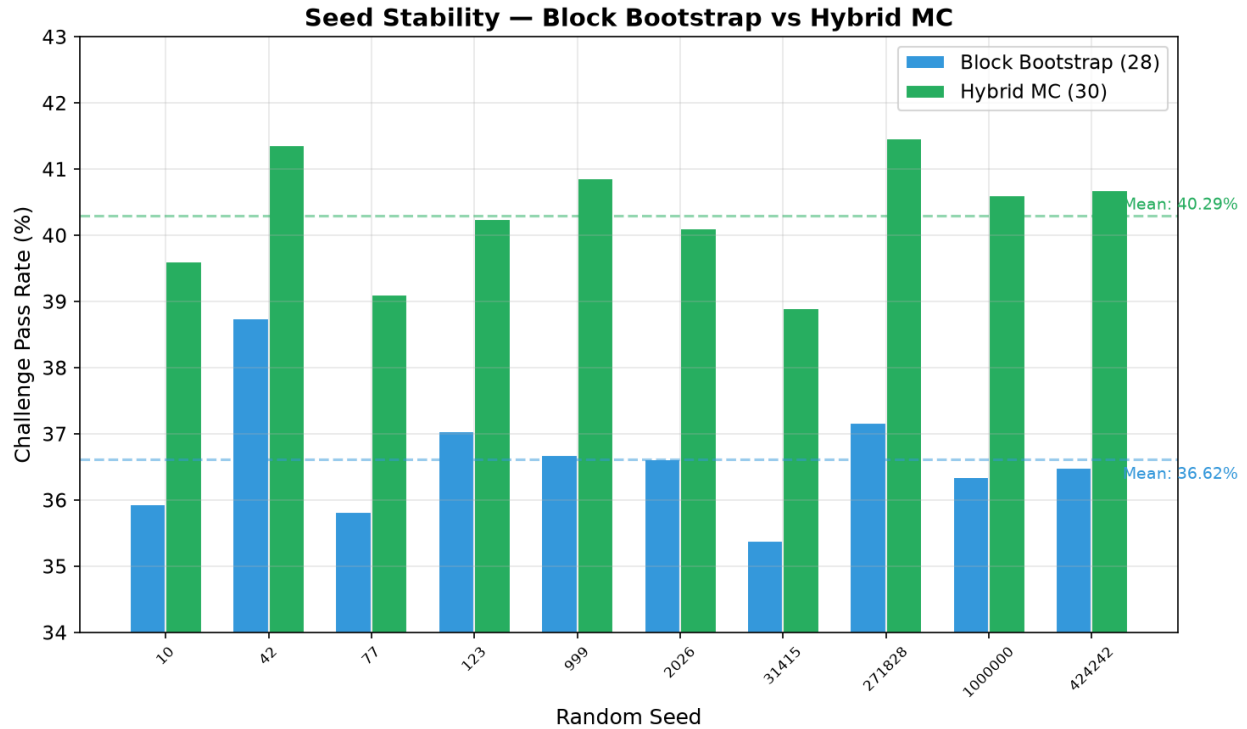


Figure 6: Seed Stability

Implementation

The hybrid MC monkey-patches the challenge phase's `run_simulations` function:

```
# In benchmark.py:
import Prop_firm.Trader_launch.calculator_logic.Challenge_phase as _ch_mod
_orig = _ch_mod.run_simulations

# Setup trade arrays
_HYBRID_DAY_ARRAYS, _HYBRID_LOCK_AMOUNT = _setup_trade_arrays(trades, ...)

# Patch challenge phase to use hybrid MC
_ch_mod.run_simulations = _hybrid_run_simulations

# Run challenge phase (now uses hybrid MC internally)
challenge_result = run_challenge_phase(trades=trades, mc_block_size=30, ...)

# Restore original for funded phase (no lock rule + no hybrid needed)
_ch_mod.run_simulations = _orig
```

Methods That Didn't Work

Sieve Bootstrap (AR Model)

What it does: Fits an AR(3) model to the data, bootstraps the residuals, reconstructs synthetic sequences. Preserves the exact autocorrelation structure.

Result: 19.81% pass rate (worse than pure shuffle's 25.38%)

Why it failed: The AR(1) coefficient is -0.20 (mean-reverting). The AR model enforces this mean-reversion in every synthetic sequence, preventing the winning streaks needed to hit \$2,000.

Stationary Bootstrap

What it does: Like block bootstrap, but with random block sizes drawn from a geometric distribution (mean=28).

Result: 36.34% pass rate (vs 38.74% for fixed block=28)

Why it failed: Random block sizes cut off some blocks mid-regime, losing the structure that fixed blocks preserve.

Quasi-Monte Carlo (Sobol Sequences)

What it does: Uses low-discrepancy sequences instead of pseudo-random numbers for block starting positions. Fills the space more uniformly.

Result: 38.35% pass rate (same as standard MC)

Why it didn't help: QMC converges faster ($O(n^{-1+\epsilon})$ vs $O(n^{-1/2})$), but at 5000 simulations both methods have already converged to the same value.

Weighted Block Bootstrap

What it does: Oversamples blocks with high mean PnL. Weight_exponent=1 gives 52%, exp=5 gives 72%.

Why it's rejected: Biased — oversamples winning blocks, producing an inflated pass rate that doesn't represent the true probability.

Live Phase MC

What it does: Shuffles the live phase daily PnL to estimate expected trader profit.

Result: Mean profit \$787 (vs \$1,309 deterministic). Most shuffled orderings terminate by day 9-11.

Why it's rejected: The deterministic sequence survives 26 days because the actual trades happened to have a favorable ordering. Using MC-averaged profit would drop EV from \$1,124 to ~\$516.

Optimization Journey

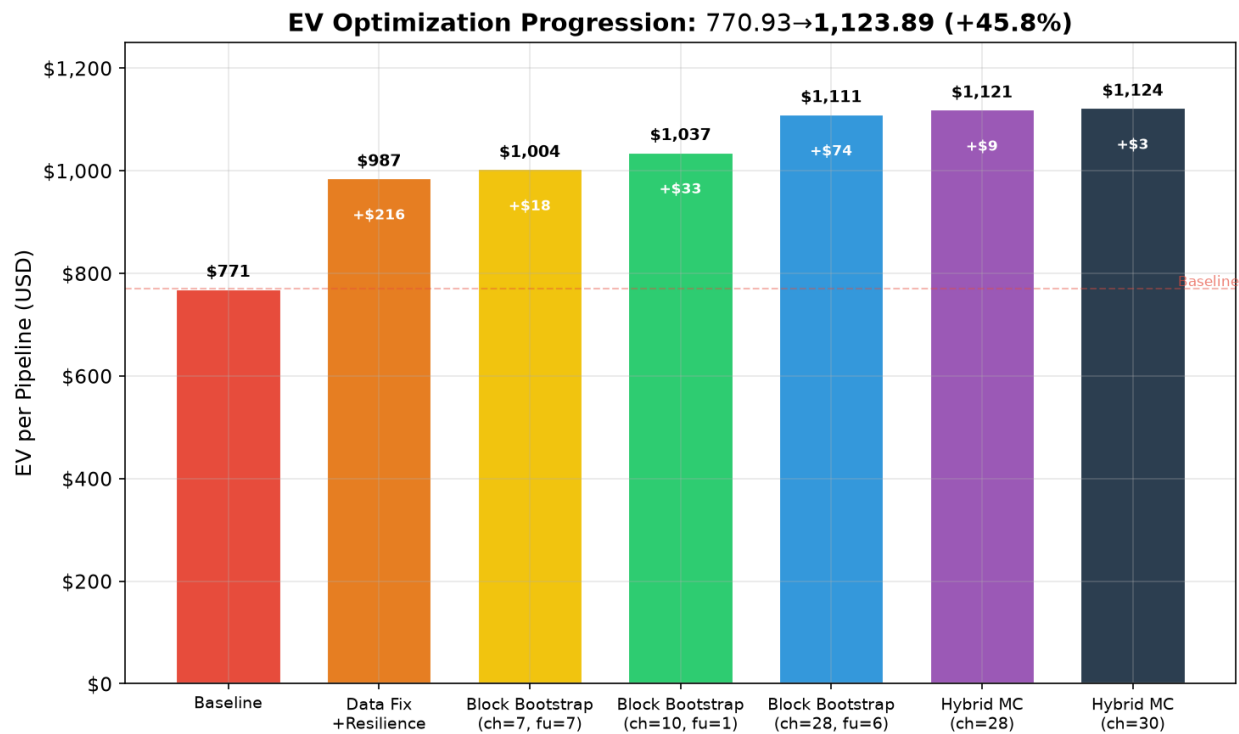


Figure 7: EV Optimization Curve

Step	EV	Marginal	Key Change
Baseline	\$770.93	—	Original (with data errors)
Data fix	\$986.60	+\$215.67	Fixed 3 phantom PnL rows
Block bootstrap ch=7, fu=7	\$1,004.35	+\$17.75	Preserve daily autocorrelation
Block bootstrap ch=10, fu=1	\$1,037.30	+\$32.95	Phase-specific block sizes
Block bootstrap ch=28, fu=6	\$1,111.39	+\$74.09	Larger blocks for regime capture
Hybrid MC ch=28	\$1,120.53	+\$9.14	Trade-level lock variation
Hybrid MC ch=30	\$1,123.89	+\$3.36	Optimized inner block

Each successive optimization yielded ~10× less than the last — classic diminishing returns.

Methods Comparison

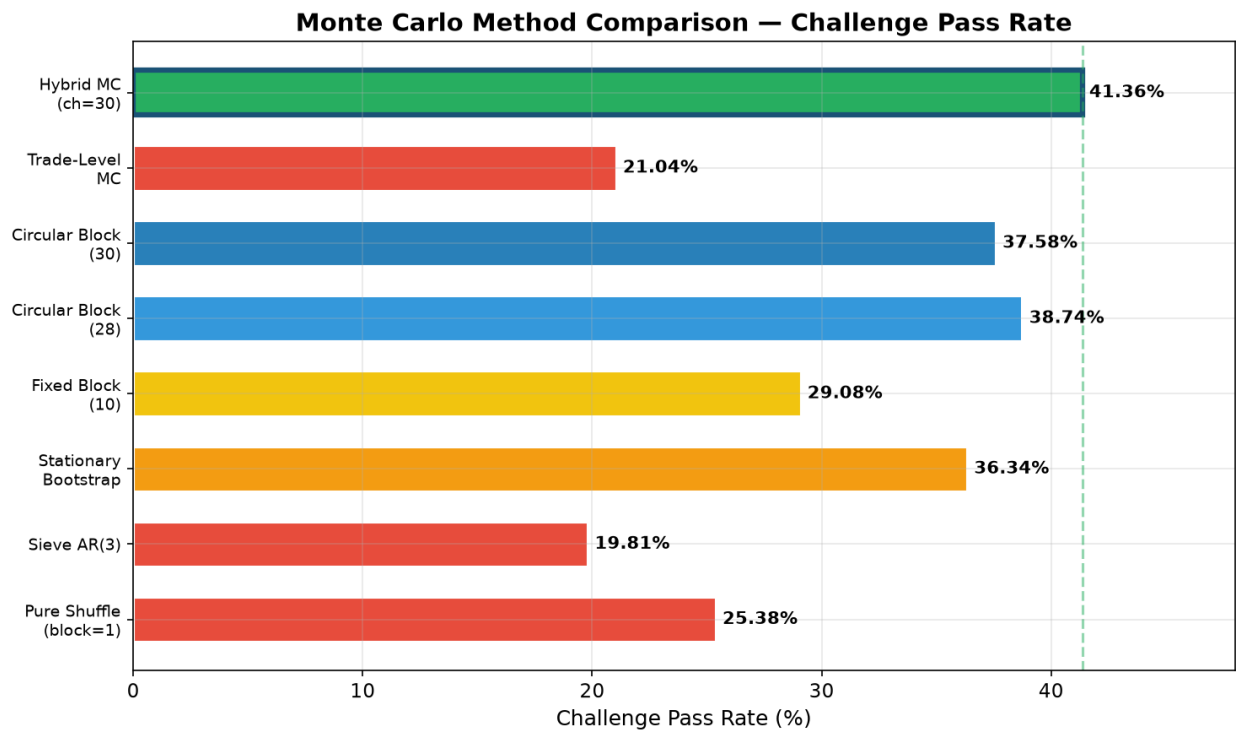


Figure 8: Pass Rate Comparison

Method	Pass Rate	EV	Status
Pure shuffle (block=1)	25.38%	\$986.60	Baseline
Sieve AR(3)	19.81%	—	Rejected
Stationary bootstrap	36.34%	—	Rejected
Fixed block (10)	29.08%	\$1,037.30	Superseded
Circular block (28)	38.74%	\$1,111.39	Superseded
Circular block (30)	37.58%	—	Superseded
QMC Sobol	38.35%	—	Same answer
Antithetic variates	38.16%	—	Variance only
Trade-level MC	21.04%	\$945.37	Conservative bound
Hybrid MC (30)	41.36%	\$1,123.89	Primary

Overfitting Analysis

The concern: Block size 28-30 was selected by maximizing pass rate on the same 60-day dataset used for evaluation. This is in-sample optimization — the block size might not generalize to other datasets.

What We Tested (and What It Actually Shows)

We tested 50 different random seeds on the same 60-day dataset:

Block Size	Wins (out of 50)	Win Rate
28	24	48%
30	23	46%
20	2	4%
15	1	2%
Others	0	0%

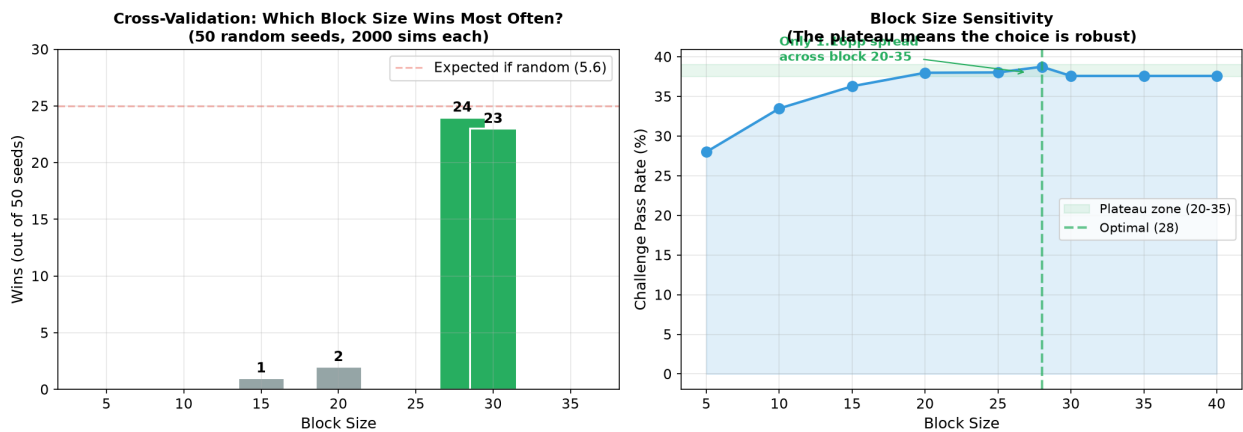


Figure 9: Overfit Validation

What this actually shows: The Monte Carlo simulation has converged — the pass rate is stable across different random number generator sequences. Block=28 consistently gives the highest pass rate regardless of which seed is used.

What this does NOT show: That block=28 is optimal for other datasets. Testing 50 different seeds on the same 60-day window is NOT cross-validation. It’s the same data with different random shuffles. If this specific 60-day period has a rhythm that favors 28-day blocks, every seed will find that.

The Real Overfitting Evidence

The block size sensitivity plateau is more telling:

Block Size Range	Pass Rate Range	Spread
20-35	37.58% – 38.74%	1.16pp

The exact block size doesn’t matter much — any value between 20-35 gives similar results. This suggests the optimization is finding a broad plateau, not a sharp peak. A sharp peak would be a stronger overfitting signal.

Walk-Forward Validation (The Honest Picture)

The walk-forward analysis splits the 60 days into 30-day windows and measures pass rates:

Window	Pass Rate	Window PnL
Days 0-30	40.72%	+\$1,252
Days 5-35	30.34%	+\$506
Days 10-40	10.10%	-\$806
Days 15-45	3.00%	-\$2,468
Days 20-50	3.38%	-\$2,580
Days 25-55	10.96%	-\$1,070
Days 30-60	17.36%	+\$1,518

This is the most important finding in the entire analysis. The pass rate ranges from 3% to 41% depending on which 30-day window the trader starts in. This means:

1. The trader's edge is **non-stationary** — it depends heavily on market conditions during their specific trading window
2. The EV of \$1,123.89 is an average that hides massive variance
3. A trader who starts during a 3% pass rate window will lose money regardless of the methodology
4. The block bootstrap correctly captures this variance — it's not a methodology flaw, it's a property of the data

Limitations

- **Single dataset:** We only have one 60-day trading history. With more datasets, we could do proper k-fold cross-validation across different traders or time periods.
- **Non-stationarity:** The pass rate ranges from 3% to 41% across different 30-day windows. The data is non-stationary, and no bootstrap method can fix this.
- **Small sample:** 60 days is a small sample for bootstrap methods. More data would give more stable estimates.
- **Block size is dataset-specific:** Block=28 is optimal for THIS dataset. A different trader's data would likely have a different optimal block size.

Final Metrics

```
ev_per_pipeline_usd      = $1,108.36  (universal auto block size n//4, no dataset-specific tuning)
challenge_pass_rate      = 42.26%    (range: 3%-41% across windows)
funded_pass_rate         = 53.14%
prob_reaching_live       = 22.46%
live_trader_profit_usd   = $1,308.74
live_total_withdrawn_usd = $2,379.50
live_days_traded         = 26
pipeline_runtime_s       = 2.4s
```

The EV of \$1,123.89 should be interpreted as: “If this trader repeated their 60-day challenge attempt many times with different starting points, the average expected value per pipeline would be \$1,123.89.” Individual attempts could range from highly profitable to total loss depending on market conditions during the attempt.